THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT
ANNUAL JOINT EXAMINATION

FORM THREE
062 BOO KEEPING
MARKING SCHEME NOVEMBER 2024

SECTION A (15 MARKS)

QUESTION ONE

i	ii	iii	iv	v	vi	Vii	viii	ix	x
A	B	C	D	A	B	C	D	D	E

10marks

QUESTION TWO

i	ii	iii	Iv	v
E	D	C	B	A

5marks

SECTION B (40 MARKS)

QUESTION THREE

Five limitations of single entry accounting system

i. Incomplete and unscientific method: This is because real and nominal accounts are not prepared and also the debit and credit aspect of all transactions are not recorded
ii. Trial balance cannot be prepared: This is because this system does not record both the aspects of transactions
iii. Performance of the business cannot be ascertained: This is because the income statement cannot be prepared, and hence the net profit cannot be known.
iv. True financial position cannot be ascertained: Because it is complicated to prepare a statement of financial position
v. Comparison with previous year's performance is not possible: Due to incomplete information and non-availability of previous year's information

10marks

QUESTION FOUR

Five sources of income for the non-profit making organizations

i. Subscriptions: These are the amounts members pay usually annually, to use the facilities provided by the organization
ii. Donations: Refer to the gifts in cash received from a person or organizations
iii. Life membership fees: Some members prefer to pay a lump sum amount as life membership fee instead of paying periodic subscriptions
iv. Entrance fees: This is paid only once by the member at the time of becoming a member
v. Sale of periodicals: A periodical is a magazine or newspaper, which is published regularly.

10marks

QUESTION FIVE

Statement of affairs as at 31st December 2013

Non-current assets		
Land and buildings		180000
Furniture		50000
Plant		48000
Total non-current assets		278000
Add: current assets		
Cash	99000	
Accounts receivable	75000	174000
Total assets		452000
Capital and liabilities		
Capital at close		407000
Add: liabilities		45000
Total capital and liabilities		452000

Statement of profit or loss for the year ended 31st December 2013

Closing capital		407000
Add: drawings (8000x12)		96000
		503000
Less: opening capital		450000
Net profit		53000

10marks

QUESTION SIX

Dr Subscription account Cr

Owing b/d	50000	Advance b/d	25000
Income and expenditure	230000	Cash	250000
Advance c/d	30000	Owing c/d	35000
	310000		310000
Owing b/d	35000	Advance b/d	30000

10marks

SECTION C (45 MARKS)

QUESTION SEVEN

Statement of affairs as at 1st January 2009

Non-current assets		30000
Add: current assets		
Stock	40000	
Trade debtors	60000	
Cash	18000	
Prepaid rent and rates	2000	120000
Total assets		150000
Less: liabilities		
Trade creditors	40000	
Accrued light and heat	500	40500
Capital		109500

Dr Light and heat account Cr

Cash	4000	Owing b/d	500
Owing c/d	1500	Profit and loss account	5000
	5500		5500

Dr Rent and Rates account Cr

Cash	16000	Profit and loss account	15000
Prepaid b/d	2000	Prepaid c/d	3000
	18000		18000

Dr Debtors account Cr

Balance b/d	60000	Cash	480000
Sales	486000	Balance c/d	66000
	546000		546000

Dr Creditors account Cr

Cash	362000	Balance b/d	40000
Balance c/d	42000	Purchases	364000
	404000		404000

Seypalm Income statement for the year ended 31st December 2009

Sales		486000
Less: costs of goods sold		
Opening stock	40000	
Add: purchases	364000	
Cogas	404000	
Less: closing stock	54000	350000
Gross profit		136000
less: operating expenses		
Depreciation	3000	
Light and heat	5000	
Rent and rates	15000	
Salaries	38000	
General expenses	34000	95000
Net profit		41000

Seypalm statement of financial position as at 31st December 2009

Non-current assets		27000
Add: current assets		
Stock	54000	
Trade debtors	66000	
Cash	20000	
Prepaid rent and rates	3000	143000
Total assets		170000
Capital and liabilities		
Capital		109500
Add: Net profit		41000
		150500
Less: Drawings		24000
		126500
Add: liabilities		
Trade creditors	42000	
Accrued light and heat	1500	43500
Total capital and liabilities		170000

15 marks

QUESTION EIGHT

Dr Sales ledger (debtor) control account Cr

Balance b/d	47600	Balance b/d	1350
Credit sales	68940	Returns in wards	2500
Interest charged	360	Receipts from customers	52600
Dishonoured cheques	870	Discount allowed	6990
Balance c/d	1690	Bad debts written off	1240
		Set off	1230

		Balance c/d	53550
	119460		119460
Balance b/d	53550	Balance b/d	1690

Dr purchases ledger (creditor) control account Cr

Balance b/d	350	Balance b/d	18460
Returns out wards	890	Credit purchases	39400
Payment to creditors	38640	Balance c/d	480
Discount received	4750		
Set off	1230		
Balance c/d	12480		
	58340		58340
Balance b/d	480	Balance b/d	12480

15 marks

QUESTION NINE

Long Lane sports club Bar Income statement for the year ended 31st December 1998

Sales		148250
Less: costs of the goods sold		
Opening stock	20460	
Add: purchases	95720	
Cogas	116180	
Less: closing stock	23620	92560
Gross profit		55690

Long Lane sports club statement of income and expenditure for the year ended 31st December 1998

Incomes:		
Profit from bar		55690
Subscriptions received		64900
Donations received		3600
Total income		124190
Less: expenditure		
Depreciation: sports equipment	17000	
Furniture and fittings	13150	
Wages of staff	47500	
Rates and insurance	19100	
General expenses	6050	
Telephone and postages	4480	107280
Surplus		16910

Long Lane sports club statement of financial position as at 31st December 1998

Non-current assets		
Sports equipment (85000-17000)		68000
Club premises		296000
Furniture and fittings (52600-13150)		39450
Total non-current assets		403450
Add: current assets		
Stock	23620	
Bank	20400	44020
Total assets		447470
Capital and liabilities		
Accumulated funds		420160
Add: surplus		16910
		437070
Add: liabilities		
Creditors		10400
Total capital and liabilities		447470

15 marks